

Investors then sold stocks in Argentina, causing a drop in prices and a run on Argentina's peso. There was no problem with the Argentine economy or banking system. Investors had simply assumed a metaphor: "They speak Spanish and use pesos as money, so they are the same." Never mind that Buenos Aires is 4,609 airline miles away from Mexico. Often those who believe in false metaphors create opportunities for those who think a bit harder.

Bad metaphors trap investors all the time. How often do we read, "This market is just like the market in April 1966"? There are similarities, sure, but not enough to bank on them. Chart reading is a metaphor. Momentum investing is another. In fact, almost all models that forecast the future have to be viewed suspiciously. That is why at Acorn we established a powerful and far-reaching group, the Metaphor Committee, whose ruthless and unsleeping members can pounce at any time, crushing an overworked simile or dismembering a mixed metaphor.

The most complex area in which the committee operates is criticism of mathematical models that predict stock price behavior. It has become popular in recent years to put one's metaphor into a series of equations that can then be run on a computer, adding the veneer of infallibility provided by neatly typed-out rows of numbers.

All models have an inherent limitation on their validity, the Cricket Limit. There is a nearly perfect mathematical fit between air temperature and the pitch at which crickets chirp. As the temperature drops, down to about 50° F., crickets chirp more slowly. One might expect the pitch to decline further as the night cools from